

lawyers who come along later to show why you shouldn't get the benefit the salesman promised you.

"Yes, all that is true," continued our colleague. "I hate insurance, too. But the difference between what you'll pay the IRS and what you'll pay the insurance industry can be huge.

"Let's say you've used up your exemptions. And the estate tax reverts back to its previous level, as scheduled. If you have a million dollars, the estate tax will cost you \$550,000 in taxes to pass on \$450,000 to your children. So there's plenty there for the insurance company. In this case, the insurance company takes a 10 percent commission right off the top. But who cares? You're going to lose \$550,000, remember? Better to pay \$100,000 to the insurance company than \$550,000 to the IRS, right?

"Here's how it works. You just take your million and buy a life insurance product. Then you sell the death benefit to your heirs for peanuts—because who knows when you'll die? It's not worth very much. With this product, they end up getting a \$1 million insurance payout—guaranteed."

"Yes," we replied. "If the insurance company is still in business. If the law hasn't changed. And let's hope the \$1 million is still worth \$1 million."

We didn't mention them, but there are other problems. The challenge to maintaining multigenerational wealth is not just getting money to the next generation without paying a hefty inheritance tax. The challenge is to put in place a system . . . an organization . . . a tradition . . . that allows wealth to be held, controlled, and managed over a long period of time. Part of that challenge is just to prevent letting it be chipped away by taxes, professional fees, or other charges. Insurance charges are to be avoided—if possible.

But there's another thing. As we've been pointing out, cash is a weak bungee cord for holding together a family fortune. It tends to stretch out . . . and disperse readily. A cash payment from an insurance company falls on most heirs like champagne. Within weeks, it is probably consumed.

You don't just want to get money from one generation to the next without paying the inheritance tax. That would be just a temporary solution. If it works at all, it leaves the next generation with the money and the problem of getting it to the following generation. It can save on taxes. But it does not create family money. That is something different.